the financing cost of power projects.

- More effort must be made for improving competition and efficiency in the coal sector, which may entail structural reforms.
- Problems like delays in obtaining environmental clearances, land acquisitions, and rehabilitation need to be suitably addressed in fasttrack mode to achieve the 12th Plan targets for coal production while maintaining a balance between growth needs and *environmental concerns*.

• Progress of *road* projects has also suffered on account of similar factors:
  - The creation of a High-Level Cabinet Committee on Investment to quicken the pace of decision making in critical infrastructure projects by the government is expected to resolve any issues involving inter-ministerial coordination.
  - Of late, financing of *road* projects has also run into difficulty as leveraged companies implementing road projects are unable to raise more debt in the absence of fresh equity. In current market conditions, these firms are unable to raise *new equity*.
  - Exit route needs to be eased so that promoters can sell equity positions after construction, passing on all benefits and responsibilities to entities that step in.
  - Promoters can then use the equity thus released for new projects.
  - Steps are also needed to up-scale projects in PPP mode for achieving the targets envisaged for the development of roads in the 12th Plan.

• The process of extending *transparent policies* and mechanisms for allocation of scarce natural resources to private companies for commercial purposes has also been initiated:
  - The Mines & Mineral (Development and Regulation) Bill 2011 aims at providing a simple and transparent mechanism for grant of mining lease or prospecting licence through competitive